

**A
PROJECT REPORT
ON**

“COMPARATIVE ANALYSIS OF VARIOUS BANKING PRODUCTS”

SUBMITTED TO

**SCHOOL OF MANAGEMENT STUDIES KAVAYITRI BAHINABAI
CHAUDHARI NORTH MAHARASHTRA UNIVERSITY**

**IN PARTIAL FULFILLMENT OF TWO YEARS FULL TIME MASTERS
DEGREE IN BUSINESS ADMINISTRATION (MBA)**

SUBMITTED BY

**VISHAL BHIMRAO TAYADE
MBA [FINANCE]
(BATCH 2021-23)**



**SCHOOL OF MANAGEMENT STUDIES KAVAYITRI BAHINABAI
CHAUDHARI NORTH MAHARASHTRA UNIVERSITY JALGAON
425001**



भारतीय स्टेट बैंक
भारतीय स्टेट बैंक
State Bank of India

ओएनजीसी पनवेल शाखा, ओएनजीसी कॉलोनी, शॉपिंग कॉम्प्लेक्स,
पनवेल, जि. रायगड, महाराष्ट्र, पिन कोड ४१० २२१.

ओएनजीसी पनवेल शाखा, ओएनजीसी कॉलोनी, शॉपिंग कॉम्प्लेक्स,
पनवेल, जि. रायगड, महाराष्ट्र, पिन कोड ४१० २२१.

ONGC Panvel Branch, ONGC Colony, Shopping Complex, -
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Date : 07/11/2022

Ref. No.: By hand/2022

Certificate

This is to certify that Mr. Vishal Bhimrao Tayade, Student of M.B.A. Finance, School of Management Studies, Kavayitri Bahinabai Chaudhari North Maharashtra University, Jalgaon has successfully completed his winter internship project on

" Comparative Analysis of Various banking Products" in our ONGC Panvel branch. He has carried out project during the period from 6th September, 2022 to 5th November, 2022 with us.

He attendance, interest & performance during above period were found to be very good. We wish him all the best in his future carrier.

A. Suptrale

Branch Manager,
State Bank of India
ONGC, Panvel Branch-410 221.





**School of Management Studies, Kavayitri Bahinabai
Chaudhari North Maharashtra University, Jalgaon.**

CERTIFICATE

This is to certify that Mr. Vishal Bhimrao Tayade Presently Studying MBA, has successfully completed his summer Internship Training Project titled 'Comparative Analysis of Various Banking Products' for academic year 2021-23.

This Report has been carried out by him under my supervision and guidance.

Prof. Dr. Madhulika Sonawane
Project Guide
School of Management Studies

Prof. Dr. Madhulika Sonawane
Director
School of Management Studies
Kavayitri Bahinabai Chaudhari
North Maharashtra University

External

ACKNOWLEDGEMENT

I would like to take this opportunity to extend my gratitude to all those who have helped me in completion of my project report and made my working on the project comfortable.

Firstly, I would like to thank SBI for giving me opportunity to work as an intern with SBI ONGC, Panvel and Mentor Mr. Akshay Sapkale, Manager at SBI ONGC, Panvel.

I would also like to convey my deep sense of gratitude and thanks to the faculty and Project Guide and Director Prof. Dr. Madhulika Sonawane for their constant support and feedback throughout the Project.

I wanted to thank you for taking time from your busy schedule. Thank you so much for offering your assistance.

I extend my warm regards to my parents who have been my pillars of strength during all walks of life.

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EXECUTIVE SUMMARY

MBA is a stepping-stone to the management carrier and to develop good manager it is necessary that the theoretical must be supplemented with exposure to the real environment. Theoretical knowledge just provides the base and it is not sufficient to produce a good manager that's why practical knowledge is needed.

In accordance with the requirement of MBA course I had summer training project in Finance department of SBI on the topic "Comparative Analysis of Various Banking Products".

The project highlights the main aims & objectives of the project report that are analysis of banking services. Study the product details, objectives and its scope, analysis and interpretation of various factors related to it. It also explains the great importance of SBI. It covers introduction of banks. It gives theoretical aspects as well as covers all the dimensions of the topic.

❖ Scope of the Study

- The study is mainly related to the analysis of banking products and finances of SBI.
- This study mainly depends on the secondary data. The relevant and required data were collected from the text books, websites, National and International articles, as well as annual reports of SBI.

❖ Objective of Study

- Studying the various banking products.
- To analyse the financial growth of selected bank.
- To compare the performances of the findings.
- To know the type of benefits provided by the bank services.

INTRODUCTION

BANKING

Banks are an important component of the Indian financial system and they play a major role in the development of the country. Banks help in channelling the idle fund to productive investment, creation of credit and capital formation, etc. In the Indian economy, banks have a major role to play in the development of each sector as commercial banks provide credit to the primary sector to promote agricultural farmers and provide advances to the customer to increase their standard of living. The State Bank of India (SBI) is the major public sector bank of the country.

HISTORY OF BANKING

Banking in India forms the base for the economic development of the country. Major changes in the banking system and management have been seen over the years with the advancement in technology, considering the needs of people. The History of Banking in India dates back to before India got independence in 1947.

The banking sector development can be divided into three phases:

Phase I: The Early Phase which lasted from 1770 to 1969.

Phase II: The Nationalisation Phase which lasted from 1969 to 1991.

Phase III: The Liberalisation or the Banking Sector Reforms Phase which began in 1991 and continues to flourish till date.

BANKING STRUCTURE IN INDIA

The structure of Indian banking system is a complex network of institutions that provide financial services to customers. The Reserve Bank of India (RBI) is the apex body responsible for regulating and supervising the Indian banking system. The Indian banking system comprises the following components:

1. Reserve Bank of India (RBI) –

The Reserve Bank of India (RBI) is a crucial component of India's banking structure. It is an autonomous body that operates as the country's central bank, and its primary objective is to ensure financial stability in India. The RBI also acts as a regulatory body and formulates monetary policies that impact the economy.

2. Scheduled Commercial Banks (SCBs) –

Scheduled Commercial Banks (SCBs) form an integral part of the Indian banking system. They are licensed to operate under the Banking Regulation Act, 1949, and are required to maintain a minimum level of capital adequacy, as specified by the Reserve Bank of India (RBI).

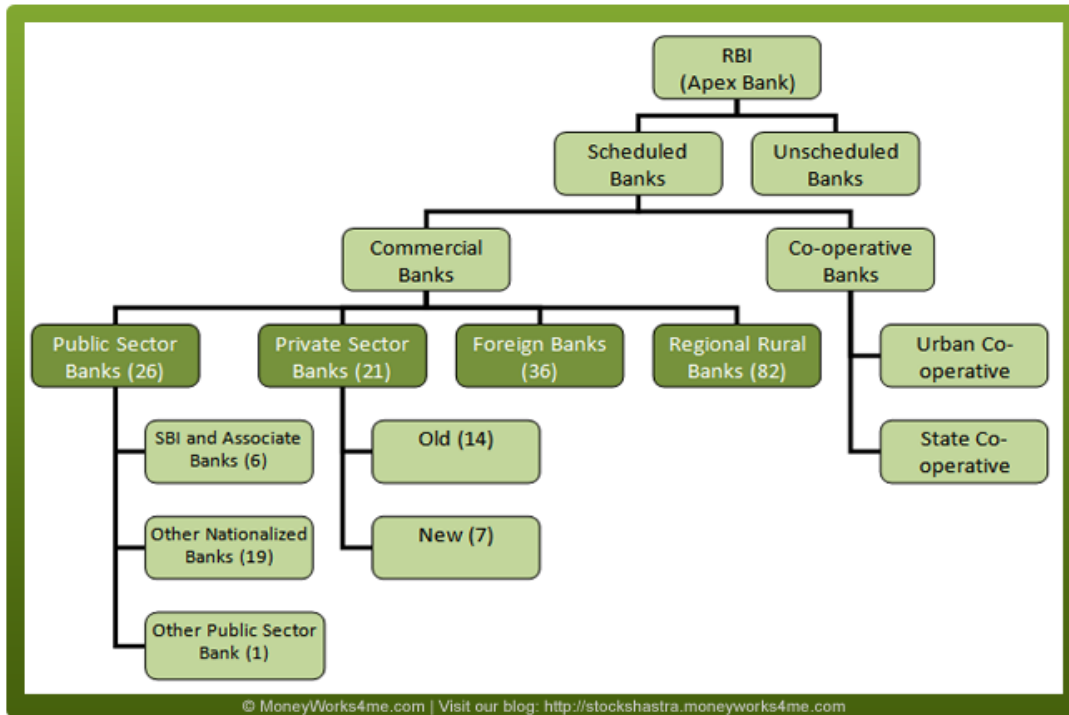
3. Co-operative Banks –

Co-operative banks are an integral part of the Indian banking system and play a crucial role in serving the banking needs of the rural and semi-urban areas. These banks operate on the principle of cooperation and are owned and managed by their members, who are also their customers.

4. Non-Banking Financial Companies (NBFCs) –

Non-Banking Financial Companies (NBFCs) play a crucial role in India's financial system by catering to the needs of underserved segments of the population. They provide a range of financial products and services that complement those offered by traditional banks.

INDIAN BANKING SYSTEM



Total Assets (in Crores)

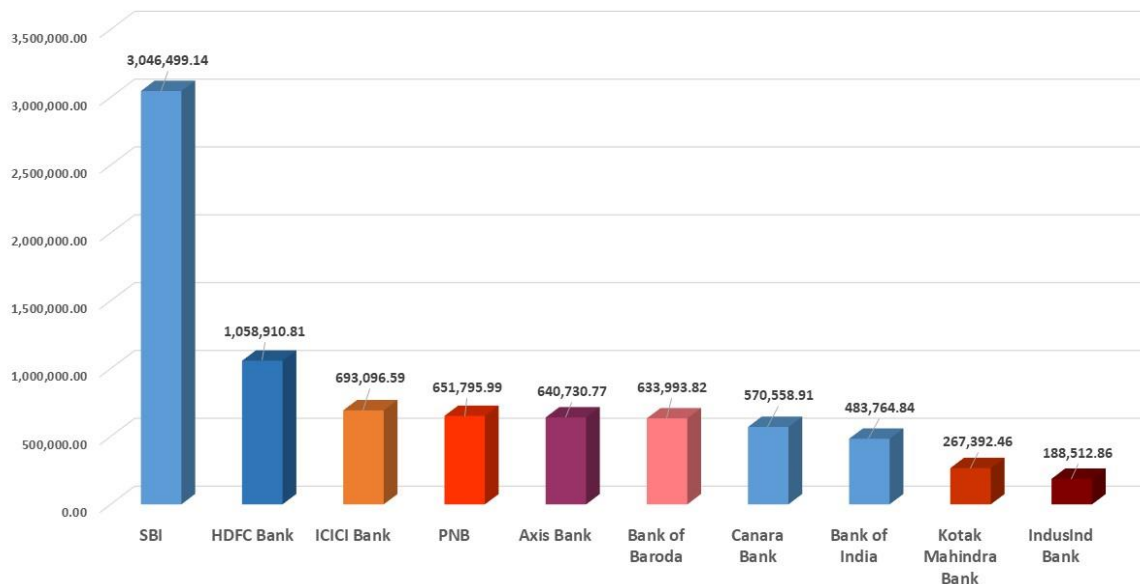


Fig: Top 10 Banks in India

COMPANY PROFILE



भारतीय स्टेट बैंक
State Bank of India

State Bank of India (SBI) a Fortune 500 company, is an Indian Multinational, Public Sector Banking and Financial services statutory body headquartered in Mumbai. The rich heritage and legacy of over 200 years, accredits SBI as the most trusted Bank by Indians through generations.

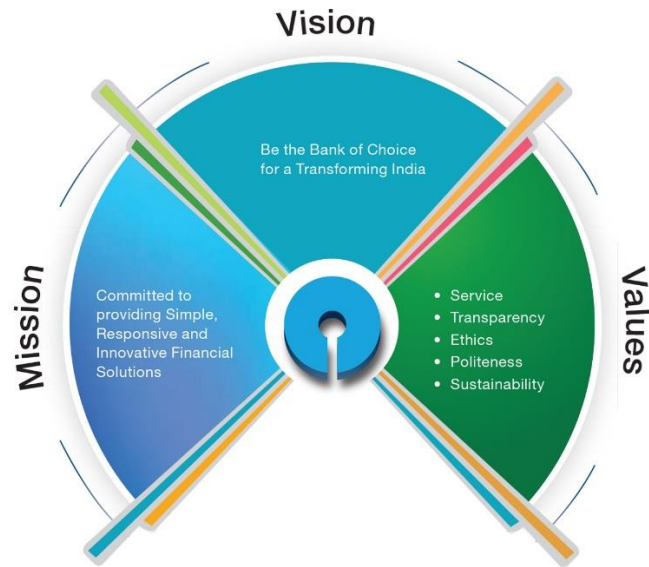
SBI, the largest Indian Bank with 1/4th market share, serves over 45 crore customers through its vast network of over 22,000 branches, 62617 ATMs/ADWMs, 71,968 BC outlets, with an undeterred focus on innovation, and customer centricity, which stems from the core values of the Bank - Service, Transparency, Ethics, Politeness and Sustainability.

The Bank has successfully diversified businesses through its various subsidiaries i.e SBI General Insurance, SBI Life Insurance, SBI Mutual Fund, SBI Card, etc. It has spread its presence globally and operates across time zones through 229 offices in 31 foreign countries.

Growing with times, SBI continues to redefine banking in India, as it aims to offer responsible and sustainable Banking solutions.

With a legacy of over 200 years, State Bank of India is an Indian multinational, public sector banking and financial services institution. For SBI, the interests of the common man have always remained at the core of its business. The Bank has a strong portfolio of distinctive products & services, and leverages technology to deliver and manage them in a personalised and customer centric way.

MISSION, VISION AND VALUES



OUR SERVICES

Personal Banking

SBI offers integrated Personal Banking services through a wide range of loan products, Salary Packages, Digital Loan offerings, NRI Business, and Wealth Management services, amongst others.

45.12 lakh/ SBI's Home loan
Customer's accounts

Rural Banking

SBI caters to the need of India's rural citizens through its offerings in Financial Inclusion Micro Credit, Agriculture Business.

1.42 cr./ Farmers catered by SBI

International Banking Group

SBI is a pioneer of the International Banking among the Indian Banks. The International Banking arm is a consistent contributor in transforming the industry landscape through its Overseas Banking Subsidiaries / Joint Ventures / Associates.

227 Offices/ Presence across all Time Zones

SME Banking

SBI is a market leader in SME financing. The Bank provide simple and innovative financial solutions to our SME clientele while also ensuring high quality customer services.

3.06 lakh cr./ Total SME Advances

Corporate Banking

At State Bank of India, the Corporate Account Group and Commercial Credit Group are one stop shop, which provides a wide range of financial products and services, exclusively to top corporates of the country and Navratna PSUs.

8.71 lakh cr./ Total Corporate Advances

Government Banking

SBI is a market leader in Government business. It significantly contributes towards e-governance initiatives taken by the GOI and is instrumental in the development of e-Solutions for both Central and State Governments.

55.18 lakh cr./ Total
Government
Business Turnover

SBI's Journey through Numbers

46.77_{cr.}

Customers

68,016

BC Outlets

19,500_{SWAYAMS}

(Bar code based Pass book printing Kiosks)

22,266

Branches

27.58%

Market Share in Debit Card Spends

15.15%

Market Share in no. of POS

95.5%

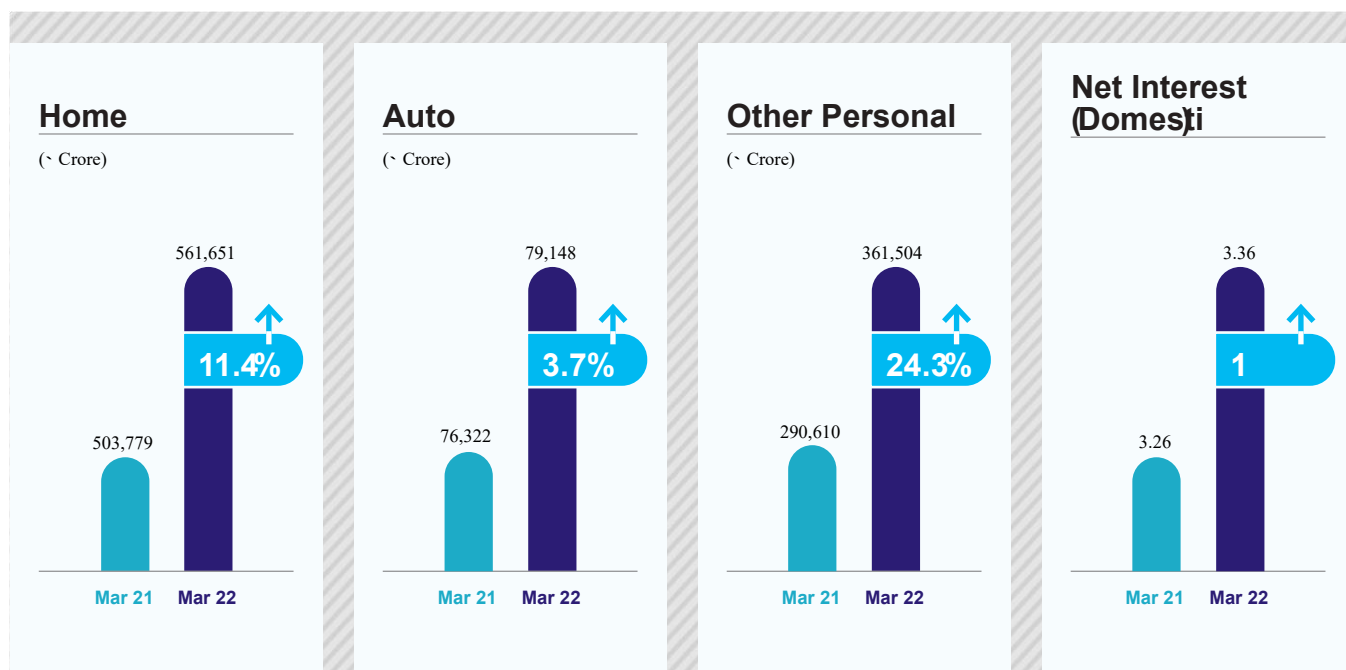
Share of Transactions on Alternate Channels

65,030

ATMs & ADWMs (Automated Deposit & Withdrawal Machines)

14.20_{cr.}

Financial inclusion Accounts (BC channels)



ACHIEVEMENTS



“Best Cash Management and Transaction Bank in India” by Asian Banker Magazine, Singapore, under Transaction Finance Awards 2021.



Kirti Puraskar by the Government of India for **Best implementation of Rajbhasha among Public Sector Banks.**



“Best Trade Finance Provider (India)-2022” for the tenth consecutive year by Global Finance Magazine.



“Silver Shield in Category 1-PSBs” ICAI Awards for Excellence in Financial Reporting **“Annual Report of SBI”.**



Gold in the prestigious ET Human Capital Awards under the category **‘Excellence in Creating a Culture of Continuous Learning and Upskilling’.**



During FY2022, all departments under Finance vertical were **accredited with ISO 9001: 2015 Certification.**

Financial Highlights: 10 years at a glance

	2012-13	2013-14	2014-15	2015-16	2016-17	2017-18	2018-19	2019-20	2020-21	2021-22
Liabilities										
Capital (₹ in crore)	684	747	747	776	797	892	892	892	892	892
Reserves & Surplus (₹ in crore)	98,200	1,17,536	1,27,692	1,43,498	1,87,489	2,18,236	2,20,021	2,31,115	2,52,983	2,79,196
Deposits (₹ in crore)	12,02,740	13,94,409	15,76,793	17,30,722	20,44,751	27,06,344	29,11,386	32,41,621	36,81,277	40,51,534
Borrowings (₹ in crore)	1,69,183	1,83,131	2,05,150	3,23,345	3,17,694	3,62,142	4,03,017	3,14,656	4,17,298	4,26,043
Other's (₹ in crore)	95,404	96,927	1,37,698	1,59,276	1,55,235	1,67,138	1,45,597	1,63,110	1,81,980	2,29,932
Total (₹ in crore)	15,66,211	17,92,748	20,48,080	23,57,617	27,05,966	34,54,752	36,80,914	39,51,394	45,34,430	49,87,597
Assets										
Investments (₹ in crore)	3,50,878	3,98,800	4,81,759	5,75,652	7,65,990	10,60,987	9,67,022	10,46,954	13,51,705	14,81,445
Advances (₹ in crore)	10,45,617	12,09,829	13,00,026	14,63,700	15,71,078	19,34,880	21,85,877	23,25,290	24,49,498	27,33,967
Other Assets (₹ in crore)	1,69,716	1,84,119	2,66,295	3,18,265	3,68,898	4,58,885	5,28,015	5,79,150	7,33,227	7,72,185
Total (₹ in crore)	15,66,211	17,92,748	20,48,080	23,57,617	27,05,966	34,54,752	36,80,914	39,51,394	45,34,430	49,87,597
Net Interest Income (₹ in crore)	44,329	49,282	55,015	57,195	61,860	74,854	88,349	98,085	1,10,710	1,20,708
Provisions for NPA (₹ in crore)	11,368	14,224	17,908	26,984	32,247	70,680	54,529	42,776	27,244	14,087
Operating Result (₹ in crore)	31,082	32,109	39,537	43,258	50,848	59,511	55,436	68,133	71,554	75,292
Net Profit Before Taxes (₹ in crore)	19,951	16,174	19,314	13,774	14,855	-15,528	1,607	25,063	27,541	43,422
Net Profit (₹ in crore)	14,105	10,891	13,102	9,951	10,484	-6,547	862	14,488	20,410	31,676
Return on Average Assets (%)	0.97	0.65	0.68	0.46	0.41	-0.19	0.02	0.38	0.48	0.67
Return on equity (%)	15.94	10.49	11.17	7.74	7.25	-3.78	0.48	7.74	9.94	13.92
Expenses to Income (%) (operating Expenses to total Net Income)	48.51	52.67	49.04	49.13	47.75	50.18	55.70	52.46	53.60	53.31
Profit Per employee (₹ in 000)	645	485	602	470	511	-243	33	578.98	828.35	1,292.72
Earnings Per Share (₹)*	210.06	156.76	17.55	12.98	13.43	-7.67	0.97	16.23	22.87	35.49
Dividend Per Share (₹)*	41.5	30	3.5	2.60	2.60	Nil	Nil	Nil	4.00	7.10
Share Price (on NSE) (₹)*	2,072.75	1,917.70	267.05	194.25	293.40	249.90	320.75	196.85	364.30	493.55
Dividend Pay out Ratio % (₹)	20.12	20.56	20.21	20.28	20.11	NA	NA	NA	17.49	20.00
Capital Adequacy Ratio (%)										
Basel-II Total Capital (₹ in crore)	1,29,362	1,45,845	1,54,491	1,81,800	2,06,685	2,34,056	2,41,073	2,66,596	3,01,980	3,34,829
%	12.92	12.96	12.79	13.94	13.56	12.74	12.85	13.13	13.82	13.85
Tier I Capital (₹ in crore)	94,947	1,12,333	1,22,025	1,35,757	1,56,506	1,84,146	1,94,655	2,17,477	2,44,421	2,69,708
%	9.49	9.98	10.1	10.41	10.27	10.02	10.38	10.71	11.19	11.16
Tier II Capital (₹ in crore)	34,415	33,512	32,466	46,043	50,179	49,910	46,418	49,119	57,559	65,121
%	3.43	2.98	2.69	3.53	3.29	2.72	2.47	2.42	2.63	2.69
Basel-III Total Capital (₹ in crore)	N.A	1,40,151	1,46,519	1,75,903	2,04,731	2,39,154	2,45,225	2,74,036	3,08,893	3,42,792
%		12.44	12	13.12	13.11	12.60	12.72	13.06	13.74	13.83
Tier I Capital (₹ in crore)	N.A	1,09,547	1,17,157	1,33,035	1,61,644	1,95,820	2,05,238	2,30,769	2,57,177	2,83,070
%		9.72	9.6	9.92	10.35	10.36	10.65	11	11.44	11.42
Tier II Capital (₹ in crore)	N.A	30,604	29,362	42,868	43,087	42,334	39,987	43,267	51,716	59,722
%		2.72	2.4	3.20	2.76	2.24	2.07	2.06	2.30	2.41
Net NPA to Net Advances (%)		2.1	2.57	2.12	3.81	5.73	3.01	2.23	1.50	1.02
Number of Domestic Branches	14,816	15,869	16,333	16,784	17,170	22,414	22,010	22,141	22,219	22,266
Number of Foreign Branches /offices	186	190	191	198	195	206	208	233	229	227

*The face value of shares of the Bank was split from ₹10 per share to ₹1 per share - wef. 22nd November, 2014.

The data is on ₹1 per share from 2014-15 onwards and ₹10 per share for earlier years.

PRODUCT PROFILE

State Bank of India (SBI) is the largest public sector banks in India. It was the first bank established in India as Bank of Calcutta in 1806. Headquartered in Mumbai, the bank has over 24,000 branches, 59,000+ ATMs and 195 foreign offices across 36 countries after the merger of its 5 associate banks and Bhartiya Mahila Bank (as on 1st April, 2017). SBI offers a plethora of products and services such as savings account, credit cards, fixed deposits, personal loan, home loan, business loan, debit card, loan against property, car loan, gold loan, mudra loan and more.

State Bank of India Services

State Bank of India Services are most varied and innovative amongst all its contemporaries. State Bank of India Services includes a host of products and services to suit all types of consumers.

- **Banking Subsidiaries**- State Bank of Bikaner and Jaipur (SBBJ), State Bank of Hyderabad (SBH), State Bank of Indore (SBIr), State Bank of Mysore (SBM), State Bank of Patiala (SBP), State Bank of Saurashtra (SBS) and State Bank of Travancore (SBT).
- **Foreign Subsidiaries** - State bank of India International (Mauritius) Ltd., State Bank of India (California), State Bank of India (Canada) and INMB Bank Ltd, Lagos.
- **Non- banking Subsidiaries** - SBI Capital Markets Ltd (SBICAP), SBI Funds Management Pvt Ltd (SBI FUNDS), SBI DFHI Ltd (SBI DFHI), SBI Factors and Commercial Services Pvt Ltd (SBI FACTORS) and SBI Cards & Payments Services Pvt. Ltd. (SBICPSL)
- **Joint ventures** - SBI Life Insurance Company Ltd (SBI LIFE).

The products of the banking industry broadly include deposit products, credit products and customized banking services. Most banks offer the same kind of products with minor variations. The basic differentiation is attained through quality of service and the delivery channels that are adopted. Apart from the generic products like deposits (demand deposits – current, savings and term deposits), loans and advances (short term and long term loans) and services, there have been innovations in terms and products such as the flexible term deposit, convertible savings deposit (wherein idle cash in savings account can be transferred to a fixed deposit), etc.

Innovations have been increasingly directed towards the delivery channels used, with the focus shifting towards ATM transactions, phone and internet banking. Product differentiating services have been attached to most products, such as debit/ATM cards, credit cards, nomination and demat services.

Other banking products include fee-based services that provide non-interest income to the banks. Corporate fee-based services offered by banks include treasury products; cash management services; letter of credit and bank guarantee; bill discounting; factoring and forfeiting services; foreign exchange services; merchant banking; leasing; credit rating; underwriting and custodial services. Retail fee-based services include remittances and payment facilities, wealth management, trading facilities and other value added services.

PRODUCT & SERVICES OFFERED BY SBI: -

1. Deposit Account
 - Savings Account
 - Current Account
2. Loan
 - Home Loan
 - Personal Loan
 - Gold Loan
 - Education Loan
 - Business Loan
 - Car Loan
3. Investment
 - Fixed Deposit
 - Recurring Deposit
4. Cards
 - Credit Card
 - Debit Card
5. Banking
 - Balance Enquiry
 - Mobile Banking
 - Net Banking
 - Customer Care
 - IFSC Code

SERVICES

- | | |
|---------------------|--------------------------------------|
| - Domestic treasury | -SBI Vishwayatra foreign travel card |
| -Broking services | -Revised service Charges |
| -ATM Services | -Internet Banking |
| -E-Pay | -E-Rail |
| -RBIFT | -Safe Deposit Locker |
| -Gift Cheques | -Micro Codes |

THEORETICAL BACKGROUND

Financial performance principally reflects business sector outcomes and results that shows overall financial health of the sector over a specific period of time. It indicates that how well an entity is utilizing its resources to maximize the shareholders wealth and profitability. Although a complete evaluation of a firm's financial performance takes into account many other different kind of measures but most common performance measurement used in the field of finance and statistical inference is financial ratios.

One way to analyze financial performance is to calculate key financial ratios over the last five years. Ratios can be compared year over year to measure progress and performance. Financial ratios are a comparison of two or more elements of financial data. They are expressed in percentage or as ratios.

Since each ratio tells you a little about the farm's financial story, it's important that they be analyzed collectively. One ratio with good results or one with poor results should not alone be the basis upon which to make management decisions, especially decisions with transition planning implications. It is important to review all the ratios over a period of five year timeline to reveal trends.

Trends with stable or improving performance are the strength when facing a potential intergenerational transfer. Trends with declining performance can be a weakness and should be analyzed carefully before proceeding.

RATIO ANALYSIS

There are different types of ratios analysis that have been calculated by every company to evaluate business performance. It is divided as below:

Type 1:– Profitability Ratios

This type of ratio analysis suggests the Returns that are generated from the Business with the Capital Invested.

- **Gross Profit Ratio**

It represents the operating profit of the company after adjusting the cost of the goods that are been sold. Higher the gross profit ratio, lower the cost of goods sold, and greater satisfaction for the management.

Gross Profit Ratio Formula = $\text{Gross Profit} / \text{Net Sales} * 100$.

- **Net Profit Ratio**

It represents the overall profitability of the company after deducting all the cash & no cash expenses. Higher the net profit ratio, the higher the net worth and stronger the balance sheet.

Net Profit Ratio Formula = $\text{Net Profit} / \text{Net Sales} * 100$

- **Operating Profit Ratio**

It represents the soundness of the company and the ability to pay off its debt obligations.

Operating Profit Ratio Formula = $\text{EBIT} / \text{Net sales} * 100$

- **Return on Capital Employed**

It represents the profitability of the company with the capital invested in the business.

Return on Capital Employed Formula = $\text{EBIT} / \text{Capital Employed}$

Type 2: – Solvency Ratios

These ratio analysis types suggest whether the company is solvent & is able to pay off the debts of the lenders or not.

• Debt-Equity Ratio

This ratio represents the leverage of the company. A low debt equity ratio means that the company has a lesser amount of debt on its books and is more equity diluted.

Debt Equity Ratio Formula = $\text{Total Debt} / \text{Shareholders Fund}$

Where,

Total debt = long term + short term + other fixed payments
shareholder funds = equity share capital + reserves + preference share capital – fictitious assets.

• Interest Coverage Ratio

It represents how many times the company's profits are capable of covering its interest expense. It also signifies the solvency of the company in the near future since higher the ratio more comfort to the shareholders & lenders regarding servicing of the debt obligations and smooth functioning of the business operations of the company.

Interest Coverage Ratio Formula = $\text{EBIT} / \text{Interest Expense}$

Type 3: – Liquidity Ratios

These ratios represent whether the company has enough liquidity to meet its short term obligations or not. Higher the liquidity ratios will increase more cash-rich the company.

• Current Ratio

It represents the liquidity of the company in order to meet its obligations in the next 12 months. Higher the current ratio, the stronger the companies to pay its current liabilities. However, a very high current ratio signifies that a lot of money is been stuck in receivables that might not realize in the future.

Current Ratio Formula = Current Assets/Current Liabilities.

- **Quick Ratio**

It represents how cash-rich is the company to pay off its immediate liabilities in the short term.

Quick Ratio Formula = Cash & Cash Equivalents+Marketable Securities+Accounts Receivables/Current Liabilities.

Type 4:– Turnover Ratios

These ratios signify how efficiently the assets and liabilities of the company are been used to generate revenue.

- **Fixed Assets Turnover Ratio**

Fixed asset turnover represents the efficiency of the company to generate revenue from its assets. In simple terms, it is a return on the investment in fixed assets.

Net Sales = Gross Sales – Returns.

Net Fixed Assets = Gross Fixed Assets – Accumulated Depreciation.

Average Net Fixed Assets = (Opening Balance of Net Fixed Assets + Closing Balance of Net Fixed Assets) / 2.

Fixed Assets Turnover Ratio Formula = Net Sales / Average Fixed Assets

- **Inventory Turnover Ratio**

Inventory Turnover Ratio represents how fast the company is able to convert its inventory into sales. It is calculated in days signifying the time required to sell the stock on an average. Average inventory is been considered in this formula since the inventory of the company keeps on fluctuating throughout the year.

Inventory Turnover Ratio Formula = Cost of Goods Sold/Average Inventories

- **Receivable Turnover Ratio**

Receivables Turnover Ratio reflects the efficiency of the company to collect its receivables. It signifies how many times the receivables are been converted to cash. A higher receivable turnover ratio also indicates that the company is collecting money in cash.

Receivables Turnover Ratio Formula = $\text{Net Credit Sales} / \text{Average Receivables}$

Type 5:– Earnings Ratios

This ratio analysis type speaks about the returns that the company generates for its shareholders or investors.

- **Profit Earnings Ratio**

PE Ratio represents the earnings multiple of the company, the market value of the shares based on the profit earnings multiple. A high P/E Ratio is a positive sign for the company since it gets a high valuation in the market for m&a opportunity.

P/E Ratio Formula = $\text{Market Price per Share} / \text{Earnings Per Share}$

- **Earnings Per Share**

Earnings Per Share represents the monetary value of the earnings of each shareholder. It is one of the major components looked at by the analyst while investing in equity markets.

Earnings Per Share Formula = $(\text{Net Income} - \text{Preferred Dividends}) / (\text{Weighted Average of Shares Outstanding})$

- **Return on Net Worth**

It represents how much profit the company generated with the invested capital from equity & preference shareholders both.

Return on Net Worth Formula = $\text{Net Profit} / \text{Equity Shareholder Funds}$.
Equity Funds = $\text{Equity} + \text{Preference} + \text{Reserves} - \text{Fictitious Assets}$.

COMMON SIZE STATEMENTS

Common size analysis, also referred as vertical analysis, is a tool that financial managers use to analyze financial statements. It evaluates financial statements by expressing each line item as a percentage of the base amount for that period. The analysis helps to understand the impact of each item in the financial statement and its contribution to the resulting figure.

The total assets or total liabilities or sale is taken as 100 and the balance items are compared to the total assets, total liabilities or sales in terms of percentage. Thus, a common size statement shows the relation of each component to the whole. Separate common size statement is prepared for profit and loss account as Common Size Income Statement and for balance sheet as Common Size Balance Sheet.

a. Income Statement Common Size Analysis

The base item in the income statement is usually the total sales or total revenues. Common size analysis is used to calculate net profit margin, as well as gross and operating margins. The ratios tell investors and finance managers how the company is doing in terms of revenues, and they can make predictions of future revenues. Companies can also use this tool to analyze competitors to know the proportion of revenues that goes to advertising, research and development, and other essential expenses.

b. Balance Sheet Common Size Analysis

The balance sheet common size analysis mostly uses the total assets value as the base value. On the balance sheet, the total assets value equals the value of total liabilities and shareholders' equity. A financial manager or investor uses the common size analysis to see how a firm's capital structure compares to rivals. They can make important observations by analyzing specific line items in relation to the total assets.

Types of Common Size Analysis

- **Vertical Analysis**

Vertical analysis refers to the analysis of specific line items in relation to a base item within the same financial period. For example, in the balance sheet, we can assess the proportion of inventory by dividing the inventory line using total assets as the base item.

- **Horizontal Analysis**

Horizontal analysis refers to the analysis of specific line items and comparing them to a similar line item in the previous or subsequent financial period. Although common size analysis is not as detailed as trend analysis using ratios, it does provide a simple way for financial managers to analyze financial statements.

COMPARATIVE STATEMENTS

The comparative financial statements are statements of the financial position at different periods; of time. The elements of financial position are shown in a comparative form so as to give an idea of financial position at two or more periods. Any statement prepared in a comparative form will be covered in comparative statements.

Types of Comparative Statements:

- a. **Comparative Income Statement**

Three important information are obtained from the Comparative Income Statement. They are Gross Profit, Operating Profit and Net Profit. The changes or the improvement in the profitability of the business concern is find out over a period of time. If the changes or improvement is not satisfactory, the management can find out the reasons for it and some corrective action can be taken.

- b. **Comparative Balance Sheet**

The financial condition of the business concern can be find out by preparing comparative balance sheet. The various items of Balance sheet for two different periods are used. The assets are classified as current assets and fixed assets for comparison. Likewise, the liabilities are classified as current liabilities, long term liabilities and shareholders' net worth. The term shareholders' net worth includes Equity Share Capital, Preference Share Capital, Reserves and Surplus and the like.

TREND ANALYSIS

Trend Analysis is a statistical tool that helps to determine future movements of a variable on the basis of its historical trends. In simple words, it predicts future behavior on the basis of past data. Under this method, a researcher collects information from multiple time periods and plots the information on a horizontal line to get some meaningful information. There is no specific amount of time for a movement to become a trend. However, the longer the movement, the better it is.

TYPES OF TREND ANALYSIS

- **Uptrend**

It is the trend when financial markets and assets move in upward directions, resulting in an increase in the price. It is usually the time of boom in the economy, where overall sentiments are favorable.

- **Downtrend**

In the downtrend or the bear market, the economy, financial markets, and assets prices move in the downward direction. It is the time when companies shrink operations and overall investor sentiment is not favorable.

- **Sideways / horizontal trend**

In this, the assets prices or the broader economy-level are not moving in any direction, rather are moving sideways. This means, moving up for some time and then down on the same level. It is a risky movement as investors are unsure of what will happen to their investment.

LITERATUE REVIEW

1. Gauda(2019): used network of banks, productivity of banks, capital adequacy ratio, growth of banks as an indicator of measuring banks performance. The study related that private sector banks have expanded faster than public sector banks. The capital adequacy of new private sector banks is above RBI minimum requirements. However the assets base of public sector banks raise faster than private sector banks.
2. Dr. (Mrs.) Annesha(2018): It is very important for the customer to spend some of their time in banks to avail all services. Relationship marketing should be emphasized on the co-operate staff members and special training should be provided also private banks are ahead of public banks in the strategic intent. Also in order to keep the customer satisfied the infrastructure of the banks decor sitting facility are adequate also overall improvement of the banks is necessary by making the customers available with the latest technology and services. Naloni studied the service quality model for customers in PSB's she stated that the entry of new private sector banks has led to improve customer service and products.
3. Renuga (2019): The main objective of this paper is to make a comparative study between private sector banks and public sector banks and the adoption of various services provided by this bank. The different services provided by these banks are M-Banking, Net banking, ATM, etc. One of the services provided by the bank i.e. Mobile banking helps us to conduct numerous financial transactions through mobile phone or Personal Digital Assistant (PDA). Data analysis had been made in private sector banks like ICICI Bank, INDUSIND Bank, HDFC Bank, Axis Bank and public sector banks like SBI Bank, SBBJ, IDBI and OBC Bank. These banks also provide Mobile Banking service. The overall study showed that the transaction of Mobile banking through public sector bank is higher than private sector.

RESEARCH METHODOLOGY

-Data Sources

Collection of Data is the most essential part of this study as it gives firsthand knowledge about the customers' and Investors' Psychology and decision making. The task of collecting data begins after a research problem has been defined and a plan is chalked out. For this study, the research is conducted and insights are captured using Primary data such as surveys Questionnaire,

Primary research is conducted through references, personal contacts. This is done in order to understand and analyze the psychology of investors while investing.

a. Primary Data

The primary data has collected by interview and observation from banks with help of schedule. The researcher has taken the interview in detail of loan and advance section as well as recovery section authority directly.

b. Secondary Data

The secondary data has collected from respective banks records i.e annual reports, books, articles in newspapers and web sites etc.

-Research Approaches

There are different ways to collect primary data, such as through Questionnaires or personal interviews. To get an actual idea about the individual's view of the region about the portfolio the questionnaire is made, by which a question based survey is conducted.

Development of questionnaire

The questions are made by taking the view that individuals become curious about the service of Portfolio Management and interested to use the same or he should understand the possibility of benefit.

A Questionnaire is considered to be the most flexible structured and efficient way of collecting primary data as it is cost and time effective. In this survey self-administered questionnaire is prepared and used to gather the data from respondents. The survey is conducted using close ended questions and open ended as well.

Open-ended questions are asked in questionnaires for receiving the right response to what people do.

Sampling

In Order to have an overall understanding of the research perspective of investors, the data is collected from people for understanding their interest and choice of options.

Sampling size

A portion of sample is selected as sample size,
It is helpful for gathering data and working on it.
It is used to reach findings and results.

DATA ANALYSIS AND INTERPRETATION

SBI Savings Account Interest Rate 2023

SBI Savings Account Balance	Rate of Interest (p.a.)
Balance less than Rs. 10 crores	2.70%
Balance Rs. 10 crores and above	3.00%

1. Basic Savings Account (Pradhan Mantri Jan Dhan Yojana)

This SBI savings account is basically meant to strengthen the poorer sections of society by providing them with the option to start their savings.

Particulars	Details
Minimum/Maximum Balance	No limit
Eligibility Criteria	All individuals having valid KYC documents
Monthly withdrawal limit	4 free monthly cash withdrawals (Both SBI & other bank's ATMs)

Cheque Book Facility	Not Available
Debit Card	Basic Rupay ATM-cum-debit card; issued free of cost
Credit Card	Not provided
Other Features	• Safe Deposit Lockers (as per availability) • Nomination facility available and recommended

SBI HOME LOAN

SBI Home Loan Highlights	
Interest Rate	8.50% – 10.15% p.a.
Loan Amount	Up to 90% of property value
Loan Tenure	Up to 30 years
Processing Charges	0.17% (Rs 2,000-Rs 10,000)

SBI PERSONAL LOAN

SBI Personal Loan Highlights	
Interest rate	11.00%-15.00% p.a.
Loan Amount	Up to Rs 20 lakh
Tenure	Up to 6 years
Minimum Monthly Salary	Rs 15,000
Processing Fee	Up to 1.50% (Rs 1,000-Rs 15,000)
Pre-closure Charges	NIL
Part-payment Fees	NIL
Documentation	• Proof of Identity • Proof of Address • Bank statements (last 6 months) • Salary slips (latest)

SBI EDUCATION LOAN

Education Loan Scheme	Interest Rate	
SBI Student Loan Scheme*	Up to ₹ 7.50 Lakh	
	1Y MCLR + 2.00% Spread	
	Above ₹ 7.50 Lakh**	
	1Y MCLR + 2.25% spread	
SBI Scholar Loan Scheme	AA list institutes	
	1Y MCLR + 0.20% spread	
	A list institutes	
	All IIMs & IITs	Other Institutes
	1Y MCLR + 0.35% spread	1Y MCLR + 0.50% spread
	B list institutes	
	All NITs	Other institutes
	1Y MCLR + 0.50% spread	1Y MCLR + 1.00% spread
SBI Skill Loan Scheme	C list institutes	
	All NITs	Other institutes
	1Y MCLR + 0.50% spread	1Y MCLR + 1.50% spread
SBI Global Ed-Vantage Scheme***	1Y MCLR + 2.25% spread	

SBI Takeover Of Collateralised Education Loans Scheme*	1Y MCLR + 1.50% spread
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* 0.50% concession in interest rate for girls

** 0.50% concession for students availing of SBI Rinn Raksha or other policy in favour of bank

*** concession for girls as well as policies favouring SBI will get 0.50% concession each

Investment

SBI Fixed Deposit

SBI Fixed Deposit Rates Highlights 2023

Highest slab rate	7.10% p.a. (for 400 days)
For 1 year	6.80% p.a.
For 2 year	7.00% p.a.
For 3 year	6.50% p.a.
For 4 year	6.50% p.a.
For 5 year	6.50% p.a.
Tax-Saving FD	6.50% p.a.

SBI Recurring Deposit

SBI Recurring Deposit Highlights 2023

Interest rates	
Highest slab rate	7.00% p.a.
1 year	6.80% p.a.
2 year	7.00% p.a.
3 year	6.50% p.a.
4 year	6.50% p.a.
5 year	6.50% p.a.
Tenure	
Minimum	1 year
Maximum	10 year
Monthly investment	
Rs 100 per month and thereafter in multiples of Rs 10	

Limitation of the Project

No Project is ideal. In reality the researcher always come across different problems which acts as limitation of project such as –

1. Biased responses of respondents
2. Non availability of data or other relevant information
3. Time constraints
4. Budget constraints
5. Company's policy that not to disclose confidential data. Etc.

Conclusion

As we compare all the private and nationalized banks the largest banks in India in public and private sectors respectively are state bank of India. To compare the financial analysis of the banks, various ratios have been used to measure the banks' profitability, mainly current ratio, debt equity ratio and net profit ratio.

According to the analysis, the banks are maintaining the required standards and running profitably. The analysis of the performance of SBI and its products indicates that are significant difference and some similarities. it is fruitful to know the standards of private banks also playing major role in enhancing the economy of country as compared to same level of nationalized bank like state bank of India.

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Pearson education Asia Publications**
- 4. Zeithmal V.A., Grembler D.D., Bitner M.j., and Pandit A.:
Service Marketing Integrated Customer Focus across the
Firm” (4th Edition)**
- 5. Prasanna Chandra: “FINANCIAL MANAGEMENT”**

ANNEXURE

■ Wikipedia

1 <https://www.sbi.com>

2 www.google.com

Resources Used for the Project
Online

